Purchase Date	VTI Price	Number of Shares	Cost	Value on July 1
January 1	$50	60	$3,000	$3,600
April 1	$50	60	$3,000	$3,600
July 1	$60	50	$3,000	$3,000
Account shares and value, July 1		170	$9,000	$10,200

TABLE 15-3
Values on August 1

Purchase Date	Cost	Number of Shares	Value on August 1	Gain (Loss)
January 1	$3,000	60	$3,240	+240
April 1	$3,000	60	$3,240	+240
July 1	$3,000	50	$2,700	(300)
Account shares and value, August 1		170	$9,026	+180

Assume that during the third quarter the stock market suffers a 10 percent correction. On August 1, VTI is trading down at $54 per share from $60 in July. Your account value and tax lot values are now those shown in Table 15-3.

The overall account has a gain of $180, but the 50 VTI shares bought on July 1 have a loss of $300. If you track specific tax lots, you can take a $300 loss by designating on Schedule D the liquidated 50 shares where the ones bought on July 1. This loss would create a tax savings. If you do not designate the July 1 tax lot, the IRS will assume that the shares being sold were the first ones bought, which were the January 1 shares. Consequently, you will owe tax on a short-term capital gain of $240.

By designating on Schedule D the tax lot sold as the one bought on July 1, the portfolio would realize a loss of $300 rather than a short-tem gain of $240. A capital loss can be deducted from ordinary income for up to $3,000. This means that the loss would reduce your tax liability for the year by about $105, assuming a 35 percent tax bracket. The total difference in